

If you do decide to trade in manually to try to get a better price, make sure you measure the result compared to theoretical market orders over time. A good execution trader can beat the average market order but most people cannot do that over time and the core business here is the longer-term trade and not the relatively small difference made by minor variations in the execution price. If it takes a lot of time or costs a lot of money and makes little difference, or even has negative impact, there is little point in keeping up the manual work. Your decision on this aspect is a matter of preference and highly subject to your own skills as an execution trader.

Depending on your geographical location as well as on your sleep cycle, if you trade global futures, you are not likely to be awake at all times when the strategy wants to trade. Assuming you trade only in the opening as the core strategy in this book does, you have quite a bit of time difference between the opening of Japan, Hong Kong, Singapore, Europe, and North America.

If you execute each transaction manually, you are likely not to be around for the opening of each market and thereby your entry price may differ significantly from what your simulation predicts. One way to counter this is to put in market-at-open orders before going to sleep, but if something big happens overnight, you may have a problem.

Another simple way to counter this discrepancy between simulated and actual executions is to make your simulations aware of the problem. If you live in Europe and know that you will not be awake for the opening of Japan, Singapore, and Hong Kong, you could simply build into the simulation software that trades are taken at the close for these markets instead of at the open, or even delay execution one day. Try it out in your simulation and see whether it makes a difference to the results or not.

■ Cash Management

One thing you never really see in your simulations is the practicality of cash management. This is just one of those things that are simplified and ignored in most simulation software and although it is not terribly complicated, it is still something you want to be familiar with before starting to trade futures.

When you open your trading account, whether it is for your own money, a hedge fund or for a client account, you have to decide on the base currency of that account. This is the main currency in which all performance will be